ADP investment review

Research evolution, financial modeling and valuation

FIN 439 / Project 1

Valuation date: October 16, 2026

Edition A and Edition B synthesis

Investment conclusion

Watch / defer

The tested cash flows do not support initiating at $288.90

$157–$199 per share: conditional operating-case range

$178.24 per share: base DCF estimate

Business quality supports continued research. Purchase price remains the constraint.

ADP’s business and investment question

$21.95B

FY2026 reported revenue

92.1%

Client revenue retention

$10.94

FY2026 diluted EPS

Payroll and human capital management services create recurring customer relationships.

The research question: can ADP sustain cash generation as AI changes products, competition and service costs?

Edition A and Edition B

	Edition A	Edition B
Valuation date	September 1, 2026	October 16, 2026
Market reference	$280.83	$288.90
Evidence	Business thesis and research plan	Reconciliation and five-year schedules
Valuation	Intrinsic range incomplete	$157.12 / $178.24 / $199.00
Decision	Watch / defer	Watch / defer

Source reliability shaped the research

01 The local annual-report PDF extraction failed.

02 Financial figures came from SEC filing data instead.

03 The record corrected claims about reading the PDF.

04 Edition B separated reported facts from model assumptions.

A traceable source matters as much as a precise calculation

The Python system connects the analysis

01 Reconcile reported earnings and operating cash flow

02 Forecast FY2027–FY2031 financial statements

03 Change operating assumptions across three cases

04 Calculate FCFF, DCF value and the equity bridge

05 Generate sensitivities, peer comparisons and checks

One offline Python file with frozen inputs and no third-party packages

Revenue components have different economics

Component	Model treatment	Valuation implication
Fee-related revenue	Growth fades from 4.5% to 4.0%	Supports operating earnings
Benefits pass-through	6% annual growth with equal direct cost	Adds revenue without direct profit
Client-funds interest	Balances and portfolio yields drive income	Depends on funding economics

Client principal stays separate from shareholder cash

Earnings-to-cash modeling

FCFF

Operating profit after operating cash taxes

Add noncash charges

Subtract capital spending, contract investment and working-capital needs

Retain stock compensation as an economic expense

Operating scenarios

Case	Economic change	FY2031 FCFF	Value / share
Downside	Weaker growth and yields, higher costs	$4,705M	$157.12
Base	Fading fee growth, historical cost intensity	$5,281M	$178.24
Upside	Stronger growth and productivity	$5,905M	$199.00

All cases use the same WACC and terminal policy

Base enterprise-to-equity bridge

Valuation component	USD millions
Present value of forecast FCFF	18,504.07
Present value of terminal cash flows	54,457.27
Enterprise value	72,961.34
Add excess corporate cash	+3,729.40
Subtract corporate financing debt	−4,804.80
Equity value	71,885.94

403.3 million diluted shares produce $178.24 per share

Valuation and the market reference

Downside	Base	Upside	Market close
$157.12	**$178.24**	**$199.00**	**$288.90**

The base estimate is approximately 38% below the market price

The entire tested operating-case range falls below the October 16 close.

A screen near $143 applies a 20% discount to base value. It does not establish an 8% annual return.

Long-term assumptions dominate value

About 75%

Share of base enterprise value from terminal cash flows

WACC 8.629%, terminal growth 2.5%, incremental terminal ROIC 20%

WACC ±1 percentage point and growth 1.5–3.5% give roughly $144–$244 per share.

This parameter sensitivity is separate from the $157–$199 operating-case range.

Cross-checks and model limits

Evidence	Interpretation
Peer P/E implies about $250–$341	Market-relative pricing differs from intrinsic DCF
Peer EV / operating income: $245–$337	Annual periods and client-funds treatment differ
Cash, debt and shares use annual snapshots	October equity value relies on dated proxies
Tax, contracts and client funding use proxies	Economic normalization remains provisional

The analysis does not average peer values into the DCF

AI assistance and analytical responsibility

AI supported	Human judgment remains essential
Research organization and source checks	Confirm what the evidence actually establishes
Code generation and model revision	Assess economic assumptions and simplifications
Reconciliation and sensitivity checks	Distinguish a passing check from a sound forecast
Draft explanations and reports	Own the final investment decision and attestation

The record includes useful assistance and claims that required correction

Decision conditions

Continue watching while price exceeds the tested value range.

Reassess retention, bookings, employment and client-interest income.

Require evidence that AI productivity offsets higher service and research costs.

Revisit initiation after a qualifying price or supported cash-flow improvement.

Lasting competitive damage would weaken the case for continued research

Discussion

ADP remains on the watchlist

Edition A framed the investment question.

Edition B quantified the cash-flow assumptions.

The Python system makes the calculations inspectable and reproducible.